

SupplySense Electronics Procurement Policy

Enterprise Standard Operating Guideline & Financial Governance Framework

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1. Purpose

The purpose of this Procurement Policy is to establish a rigorous, transparent, and standardized framework for acquiring goods, services, and inventory for SupplySense Electronics Pvt. Ltd. It ensures cost optimization, ethical vendor relationships, audit compliance, and risk mitigation across all consumer electronics distribution channels.

2. Scope

This policy applies to all employees, department heads, procurement specialists, and executive officers involved in purchasing decisions, vendor selection, purchase requisition, and purchase order authorization across all SupplySense business units and distribution centers (including WH-AHM-01, WH-MUM-01, WH-DEL-01, WH-BLR-01, and WH-HYD-01).

3. Definitions

- Purchase Requisition (PR): An internal document initiated by a department requesting procurement of goods or services.
- Purchase Order (PO): A legally binding commercial document issued by SupplySense to a Supplier committing to pay for specified products under agreed terms.
- Three-Way Matching: Verification protocol comparing Purchase Order, Goods Received Note (GRN), and Supplier Invoice prior to payment release.
- Approved Supplier List (ASL): Qualified vendors meeting technical, financial, and compliance criteria registered in SupplySense systems.

4. Procurement Governance & Approval Matrix

All purchase commitments must adhere strictly to the authorized financial authorization matrix based on total purchase order value in INR (₹):

Purchase Order Value Threshold (INR)	Primary Approval Authority	Secondary / Co-Signer	Required Quotations
Below ₹50,000	Department Manager	N/A	1 Vendor Quote
₹50,000 – ₹2,00,000	Procurement Manager	Department Head	2 Competitive Quotes
₹2,00,000 – ₹5,00,000	Procurement Head	Finance Controller	3 Written Quotes

Above ■5,00,000	Finance Head	Authorized Business Head / CEO	3 Formal Bids / RFP
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5. Supplier Selection & Quotation Requirements

5.1 Minimum Quotations: For purchases exceeding ■50,000, procurement officers must obtain competitive written quotations from registered vendors on the Approved Supplier List (ASL).

5.2 Vendor Qualification: New suppliers must pass technical audit, legal vetting, and creditworthiness checks before ASL onboarding as per SSE-SUP-POL-001.

5.3 Price Negotiation: Procurement officers are required to negotiate commercial terms including volume discounts, rebates, freight absorption, and extended payment windows.

6. Purchase Order Rules & Commercial Terms

6.1 Mandatory PO Issuance: No goods or services shall be received or paid for without a valid, approved Purchase Order generated in the SupplySense ERP system.

6.2 Standard Commercial Terms: Standard payment terms are Net 30 days or Net 60 days from Goods Received Note (GRN) generation. Early payment discounts (e.g. 2/10 Net 30) should be leveraged where cash flow permits.

6.3 Delivery Terms: Preferred Incoterms are DDP (Delivered Duty Paid) or FOB Destination to SupplySense designated warehouses.

7. Three-Way Matching & Payment Approval

7.1 Discrepancy Tolerance: Accounts Payable will execute Three-Way Matching between PO, GRN, and Vendor Invoice. Price variations exceeding 0.5% or quantity variations exceeding 0% require Procurement Manager approval.

7.2 Discrepancy Resolution: Invoices failing 3-way match are placed on Accounts Payable Hold until a credit note or revised invoice is submitted by the supplier.

8. Purchase Order Amendments & Exceptions

8.1 PO Modification: Any change in unit price, line item quantity, or delivery warehouse requires a formal PO Amendment re-routed through the approval matrix.

8.2 Emergency Exceptions: Purchases under emergency operational risk follow the Emergency Procurement Policy (SSE-EMG-POL-001).

9. Record Retention & Audit

All procurement records including quotations, approval logs, PO copies, GRNs, and correspondence must be archived for a minimum of 7 fiscal years for internal and external statutory compliance.